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Plaintiff, In Pro Per

**SUPERIOR COURT OF THE STATE OF CALIFORNIA  
COUNTY OF SAN FRANCISCO**

**FRANCISCUS DYLAN ROSARIO,  
PLAINTIFF,**

**v.**

Subhi Abdelhalim; CSAA Insurance Exchange; Phillips,  
Spallas & Angstadt LLP; Priya D. Navaratnasingham;  
Alberto Reyna; Michael R. Chambers; Carbone, Smith &  
Koyama; and Does 1 through 50, inclusive;

**DEFENDANTS**

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**Case No.: CGC-25-631801**

**PLAINTIFF'S SUPPLEMENTAL  
MEMORANDUM OF POINTS AND  
AUTHORITIES IN FURTHER OPPOSITION TO  
DEFENDANTS' SPECIAL MOTION TO  
STRIKE (CODE CIV. PROC., §§ 425.16,  
425.17(c))**

(Cal. Rules of Court, rules 3.1113, 3.1306(c); supplemental to  
Plaintiff's previously-filed Opposition; cross-noticed for hearings  
of May 12, 2026 and May 22, 2026, Dept. 301)

**Cross-noticed for pending defense hearings (this case, Dept.  
301):**

| #   | Motion                                    | Date / dept / judge                                                    |
|-----|-------------------------------------------|------------------------------------------------------------------------|
| (1) | MFL / leave (SAC)                         | <b>Apr. 30, 2026</b>                                                   |
| (2) | Anti-SLAPP (Code<br>Civ. Proc., § 425.16) | <b>May 12, 2026, 9:30 a.m.</b> ; Dept.<br>301; Hon. Christine Van Aken |
| (3) | Strike (Code Civ.<br>Proc., § 436)        | <b>May 22, 2026</b> ; Dept. 301; Hon.<br>Christine Van Aken            |
| (4) | Demurrer                                  | Hrng. date <b>[TBD]</b> (reserved)                                     |

Complaint filed: Dec. 23, 2025  
FAC filed: Feb. 25, 2026

## I. INTRODUCTION AND VEHICLE

This Supplemental Memorandum of Points and Authorities is respectfully submitted in further opposition to Defendants’ special motion to strike under Code of Civil Procedure section 425.16. It is offered as a supplement to — and not as a substitute for — Plaintiff’s previously-filed Opposition. The vehicle is Cal. Rules of Court, rule 3.1113 (memorandum of points and authorities) read together with Cal. Rules of Court, rule 3.1306(c) (lodging of supplemental authority for hearings), as the supporting Notice of Lodging Supplemental Authority, the Supplemental Request for Judicial Notice, and the bench briefs filed concurrently in this same cross-hearing package make clear. Plaintiff incorporates the previously-filed Opposition by reference and submits this supplemental memorandum to focus the Court’s attention on the structurally prior question raised by Code of Civil Procedure section 425.17(c): whether the special motion to strike procedure is available to Defendants at all.

As shown below, it is not. The moving Defendants are either the commercial insurer itself (CSAA Insurance Exchange) or panel counsel and individual lawyers retained by, or acting in alignment with, the insurer in furtherance of CSAA’s commercial claim-handling and litigation posture. Plaintiff’s causes of action arise from representations of fact about the insurer’s claim handling and from conduct made in the course of delivering the insurance product to Plaintiff and to decision-makers in a position to influence Plaintiff’s customer-side claim. Both the commercial-actor element and the conduct-and-audience elements of Code Civ. Proc., § 425.17(c) are satisfied. Neither Civil Code section 47(b) nor Business and Professions Code section 6128(a) supplies a route around the carve-out. The special motion to strike must be denied at the gateway without reaching the merits-stage Code Civ. Proc., § 425.16(b)(1) “probability of prevailing” inquiry.

The Supplemental Request for Judicial Notice filed concurrently reproduces the verbatim text of Code Civ. Proc., § 425.17, Code Civ. Proc., § 425.16(e), (g), (i), Code Civ. Proc., § 904.1(a)(13), Civil Code § 47(b), Business and Professions Code § 6128(a), Insurance Code § 790.03(h), and 10 California Code of Regulations § 2695.1. A companion Supplemental Memorandum filed concurrently in this case (the “Customer-Doctrine Supplemental”) addresses the discrete question whether a third-party claimant is a “customer” within the meaning of section 425.17(c)(2) and whether

1 panel counsel are themselves operating within the regulated commercial channel; that question is  
2 treated only summarily here.

## 3 **II. STATEMENT OF FACTS GERMANE TO THE § 425.17(C) GATEWAY**

4 The moving Defendants in CGC-25-631801 include CSAA Insurance Exchange (a California-  
5 licensed insurer) and several panel counsel and individual lawyers retained by, or acting in align-  
6 ment with, CSAA in furtherance of the insurer's commercial litigation posture. Plaintiff's pleaded  
7 causes of action arise from: (a) representations of fact about CSAA's claims handling and the sta-  
8 tus and conclusions of its investigation; (b) communications regarding the basis for denial; and  
9 (c) representations concerning the existence or non-existence of factual predicates that were com-  
10 municated to Plaintiff and to the court before trial. Each set of communications was made in the  
11 course of delivering the insurance product (as to CSAA) or in the course of delivering the insur-  
12 ance defense product retained and paid for by CSAA (as to panel counsel). The intended audience  
13 at every stage was an actual or potential decision-maker influencing the outcome of the customer's  
14 claim — first Plaintiff as the insured, then the regulator, and ultimately the court.

## 15 **III. LEGAL STANDARD — § 425.17(C) IS A STRUCTURAL GATEWAY**

### 16 **A. The Carve-Out Is Categorical and Sequentially Prior to § 425.16.**

17 The Legislature enacted Code of Civil Procedure section 425.17 in 2003 because it determined that  
18 Code Civ. Proc., § 425.16 was being misused. Code Civ. Proc., § 425.17(a) declares: “[T]here  
19 has been a disturbing abuse of Section 425.16, the California Anti-SLAPP Law, which has under-  
20 mined the exercise of the constitutional rights of freedom of speech and petition for the redress of  
21 grievances, contrary to the purpose and intent of Section 425.16.” Subdivision (c) is the Legisla-  
22 ture's response to one identifiable category of abuse: special motions to strike filed by commercial  
23 actors — including, by name, those engaged in the business of insurance — to defeat causes of  
24 action that arise from their own commercial representations or from conduct undertaken in the  
25 course of delivering their goods or services to actual or potential customers.

26 The California Supreme Court has confirmed in *Simpson Strong-Tie Co. v. Gore* (2010) 49 Cal.4th  
27 12, and the Court of Appeal has reaffirmed in *JAMS, Inc. v. Superior Court* (2016) 1 Cal.App.5th

1 984 and *Stewart v. Rolling Stone LLC* (2010) 181 Cal.App.4th 664, that the carve-out is categorical:  
2 when its elements are met, Code Civ. Proc., § 425.16 “does not apply” at all. The Court does  
3 not weigh competing interests; it declines to extend the special motion to strike procedure to the  
4 category of disputes the Legislature has removed from that mechanism. *Club Members for an*  
5 *Honest Election v. Sierra Club* (2008) 45 Cal.4th 309 supplies the sequencing rule: where Code  
6 Civ. Proc., § 425.17 is invoked, the trial court must address the carve-out before any Code Civ.  
7 Proc., § 425.16 analysis. This sequencing is not optional.

#### 8 **B. The Two-Element Test of § 425.17(c).**

9 The two elements of Code Civ. Proc., § 425.17(c) are straightforward. **First**, the defendant must be  
10 “primarily engaged in the business of selling or leasing goods or services,” with insurance specifi-  
11 cally enumerated. **Second**, the cause of action must arise from a statement or conduct that consists  
12 either of representations of fact about the defendant’s business operations, goods, or services, made  
13 for the purpose of obtaining approval for, promoting, or securing a commercial transaction, **or** of  
14 conduct made in the course of delivering those goods or services. In addition, Code Civ. Proc.,  
15 § 425.17(c)(2) requires that the intended audience be (i) an actual or potential buyer or customer;  
16 (ii) a person likely to repeat the statement to or otherwise influence such a customer; or (iii) alter-  
17 natively, that the conduct have arisen out of or within the context of a regulatory approval process,  
18 proceeding, or investigation. Each audience branch is independently sufficient.

### 19 **IV. ARGUMENT — THE § 425.17(C) CARVE-OUT REQUIRES DENIAL OF THE** 20 **SPECIAL MOTION TO STRIKE**

#### 21 **A. CSAA Is the Paradigmatic § 425.17(c) Defendant; Panel Counsel Operate Within the** 22 **Same Commercial Channel.**

23 CSAA is a California-licensed insurer. Insurance is one of the named industries in the text of Code  
24 Civ. Proc., § 425.17(c). The first element is satisfied as to CSAA as a matter of law.  
25 Code Civ. Proc., § 425.17(c) is not limited to the commercial actor in name; its focus is on the  
26 **cause of action** and what it **arises from**, not on the formal corporate identity of the speaker. Where  
27 panel counsel and counsel’s firm are retained by an insurer to deliver — as part of the insurance

1 product itself — defense services that the policy promises to the insured, those attorneys are them-  
2 selves operating within the commercial channel that Code Civ. Proc., § 425.17(c) regulates. Where  
3 Plaintiff’s claims against panel counsel arise from representations of fact about CSAA’s claim han-  
4 dling, about the status of an investigation, about the basis for a denial, or about the existence or  
5 non-existence of factual predicates that were communicated to the court before trial, those repre-  
6 sentations were made in the course of delivering the insurance defense product to the insurer-client  
7 and, derivatively, were made about the insurer’s operations within the meaning of Code Civ. Proc.,  
8 § 425.17(c)(1).

9 **B. The Intended-Audience Element Is Independently Satisfied Under Both Available Branches.**

10 The intended audience for the operative communications was, at every stage, an actual or potential  
11 decision-maker influencing the outcome of the customer’s claim — first Plaintiff as the insured,  
12 then the regulator, and ultimately the court. That falls within both branches of Code Civ. Proc.,  
13 § 425.17(c)(2): (i) the “person likely to repeat the statement to, or otherwise influence” the cus-  
14 tomer branch; and (ii) the “regulatory approval process, proceeding, or investigation” branch, given  
15 that Insurance Code § 790.03(h) and 10 CCR § 2695.1 et seq. directly govern misrepresentations  
16 to claimants, the duty to adopt reasonable investigation standards, and the obligation to attempt  
17 prompt, fair, and equitable settlement.

18 **C. Civil Code § 47(b) and the “Petitioning” Gloss of § 425.16(e) Do Not Override the Carve-**  
19 **Out.**

20 Defendants rely on Civil Code § 47(b) and on the line of cases extending the litigation privilege  
21 to communications “in furtherance of” judicial proceedings. As *Action Apartment Ass’n v. City of*  
22 *Santa Monica* (2007) 41 Cal.4th 1232 confirms, § 47(b) is, in many respects, coextensive with Code  
23 Civ. Proc., § 425.16(e) for certain deceit-based predicates. That coextensiveness cuts both ways:  
24 if the conduct does not satisfy the petitioning concept underlying Code Civ. Proc., § 425.16(e),  
25 it likewise cannot be sheltered by § 47(b) for purposes of evading Code Civ. Proc., § 425.17(c).  
26 And § 47(b) itself contains carve-outs — including subdivision (b)(2) for communications made  
27 in furtherance of intentional destruction or alteration of physical evidence, and subdivision (b)(3)  
28 for knowing concealment of insurance policies in a judicial proceeding.

1 Business and Professions Code § 6128(a) supplies an additional, independent prohibition: every  
2 attorney is guilty of a misdemeanor who is “guilty of any deceit or collusion, or consents to any  
3 deceit or collusion, with intent to deceive the court or any party.” Section 6128(a) is not a cause  
4 of action that displaces other privileges; it is, however, an authoritative statement that California  
5 law does not regard attorney deceit aimed at the court as protected speech. Read alongside Code  
6 Civ. Proc., § 425.17(c), the result is unambiguous: an insurer’s panel counsel cannot, by labeling  
7 pre-trial commercial representations as “advocacy,” convert deceit aimed at the tribunal into anti-  
8 SLAPP-protected petitioning activity.

9 **D. *Flatley* Independently Closes the § 425.16 Gateway as to Conduct Conclusively Shown to**  
10 **Be Unlawful.**

11 *Flatley v. Mauro* (2006) 39 Cal.4th 299, reaffirmed in *Lefebvre v. Lefebvre* (2011) 199 Cal.App.4th  
12 696, holds that conduct conceded or shown as a matter of law to be illegal is not protected by  
13 Code Civ. Proc., § 425.16 in the first instance. To the extent Defendants’ special motion depends  
14 on conduct that, on an uncontroverted record, violates Insurance Code § 790.03(h), Business and  
15 Professions Code § 6128(a), or constitutes extrinsic fraud, the *Flatley* gateway closes regardless of  
16 how the conduct is labeled.

17 **E. Extrinsic Fraud Is Not “Protected Speech.”**

18 Extrinsic fraud is, by definition, fraud that prevents a party from fully and fairly presenting his case  
19 — including misrepresentations about whether an investigation has occurred, false assurances that  
20 govern a litigant’s pre-trial conduct, and concealment of facts the opposing party was entitled to  
21 know. The litigation privilege has never been understood to immunize extrinsic fraud; if it did, the  
22 doctrine of extrinsic fraud would be a dead letter. Where panel counsel’s challenged statements  
23 are alleged to have been made and acted upon **prior to trial**, with the consequence of impairing  
24 Plaintiff’s ability to present his case, those statements are not “protected speech” under any reading  
25 of Code Civ. Proc., § 425.16(e). They are, instead, the very conduct Code Civ. Proc., § 425.17(c)  
26 was enacted to keep within the ordinary civil docket. *Rusheen v. Cohen* (2006) 37 Cal.4th 1048  
27 draws a clear line between communicative acts integral to a judicial proceeding and the underlying  
28 non-communicative or pre-litigation conduct that gives rise to a cause of action; the gravamen of

1 Plaintiff's claims is the latter.

2 **F. The “Concealment of the Failure to Investigate” Theory Is Squarely Within § 425.17(c)(1).**

3 Plaintiff's pleaded theory — that the insurer communicated a denial premised on a represented  
4 conclusion of investigation when in fact no adequate investigation had occurred, and that panel  
5 counsel carried that representation forward — is structurally a § 790.03(h)(1) and (h)(3) theory.  
6 The Court need not decide on this motion whether each statutory element has been violated; it  
7 need only recognize that conduct alleged to have violated § 790.03(h) is, by definition, conduct  
8 “in the course of delivering” insurance services and therefore squarely within Code Civ. Proc.,  
9 § 425.17(c)(1).

10 **G. The Cross-Noticed § 436 Motion Does Not Rescue the Defense.**

11 Defendants have cross-noticed a motion under Code Civ. Proc., § 436 that incorporates by refer-  
12 ence the “everything is petitioning” rhetoric of their anti-SLAPP papers. *PH II, Inc. v. Superior*  
13 *Court* (1995) 33 Cal.App.4th 1680, 1682–83, holds that a Code Civ. Proc., § 436 motion is not  
14 a backdoor demurrer; by parity of reasoning, it is not a backdoor anti-SLAPP motion either. The  
15 underlying conduct remains commercial-insurer claims handling and counsel's role in delivering  
16 that product, not protected petitioning.

17 **H. § 425.17(e) — No Interlocutory Appeal, No Stay, No Writ.**

18 If this Court denies the special motion to strike on Code Civ. Proc., § 425.17 grounds — as it  
19 must on this record — the denial is not subject to interlocutory appeal under Code Civ. Proc.,  
20 § 904.1(a)(13). Code Civ. Proc., § 425.17(e) is explicit. The Legislature concluded that the  
21 ordinary anti-SLAPP appeal route is itself a vehicle for abuse where the underlying claim was  
22 never within Code Civ. Proc., § 425.16 to begin with.

23 **V. CONCLUSION**

24 In CGC-25-631801, the moving Defendants are either the commercial insurer itself or counsel  
25 acting in the course of delivering the insurance product. The conduct from which Plaintiff's causes  
26 of action arise consists of representations of fact about the insurer's operations and claims, made  
27 to Plaintiff as customer or to decision-makers in a position to influence his customer-side claim,

1 and made within the regulatory framework of Insurance Code § 790.03(h) and the Fair Claims  
2 Settlement Practices Regulations. Defendants’ “freedom of speech” framing depends on a re-  
3 characterization that Code Civ. Proc., § 425.17(c) was enacted to forbid, and Civil Code § 47(b)  
4 does no independent work because the litigation privilege does not immunize extrinsic fraud, does  
5 not displace Code Civ. Proc., § 425.17(c)’s structural sequencing, and does not override Business  
6 and Professions Code § 6128(a)’s prohibition on attorney deceit aimed at the court or any party.  
7 Plaintiff respectfully requests that the Court deny the special motion to strike at the gateway under  
8 Code Civ. Proc., § 425.17(c), without reaching the second prong of the anti-SLAPP analysis, and  
9 proceed with the ordinary civil docket in CGC-25-631801.

Dated: April 30, 2026



*/s/ Franciscus Dylan Rosario*

**FRANCISCUS DYLAN ROSARIO**

Plaintiff, In Pro Per

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